In the meanwhile, war with Haidar Ali had again started in 1780. Repeating his earlier exploits, Haidar Ali inflicted one defeat after another on the British armies in the Carnatic and forced them to surrender in large numbers. He soon occupied almost the whole of the Carnatic. But once again British arms and diplomacy saved the day. Warren Hastings bribed the Nizam with the cession of Guntur district and gained his withdrawal from the anti-British alliance. During 1781–82 he made peace with the Marathas and thus freed a large part of his army for use against Mysore. In July 1781 the British army under Eyre Coote defeated Haidar Ali at Porto Novo and saved Madras. After Haidar Ali's death in December 1782, the war was carried on by his son, Tipu Sultan. Since neither side was capable of overpowering the other, peace was signed by them in March 1784 and both sides restored all conquests. Thus, though the British had been shown to be too weak to defeat either the Marathas or Mysore, they had certainly proved their ability to hold their own in India.

The third British encounter with Mysore was more fruitful from the British point of view. The peace of 1784 had not removed the grounds for struggle between Tipu and the British; it had merely postponed the struggle. The authorities of the East India Company were acutely hostile to Tipu. They looked upon him as their most formidable rival in the south and as the chief obstacle standing between them and complete domination over South India. Tipu, on his part, thoroughly disliked the English, saw them as the chief danger to his own independence and nursed the ambition to expel them from India. War between the two began again in 1789 and ended in Tipu's defeat in 1792. By the treaty of Seringapatam, Tipu ceded half of his territories to the English and their allies and paid 330 lakhs of rupees as indemnity.

Expansion under Lord Wellesley (1798–1805)

The next large-scale expansion of British rule in India occurred during the Governor-Generalship of Lord Wellesley who came to India in 1798 at a time when the British were locked in a life-and- death struggle with France all over the world.